Improving Substitution and Refund Experience in Zepto

Data-Driven Product Case Study: Solving Substitution & Refund Friction in Zepto

Management Case Study

Executive Summary

This study analyses user friction arising from two key product design decisions:

- Automatic substitution of unavailable items without user consent
- Refunds restricted to platform wallet credits

Key Findings:

- 59% of users report dissatisfaction due to substitutions
- 35% estimated churn risk linked to refund experience
- ₹14M/day potential revenue exposure due to retention loss

Recommendation:

Re-design substitution and refund flows to prioritize **user control, transparency, and flexibility**.

Problem Definition

Users encounter two primary issues:

1. Items are substituted without prior approval
2. Refunds are issued as wallet credits rather than original payment method

These issues result in reduced trust and increased likelihood of churn.

Theoretical Framework: Jobs-To-Be-Done (JTBD)

The JTBD framework defines products in terms of the “job” users are trying to accomplish.

Functional Job:

> Obtain specific grocery items reliably and quickly

Emotional Job:

> Feel confident that the platform will deliver expected outcomes

Failure Point:

- Substitution undermines **functional reliability**
- Wallet refunds undermine **perceived fairness and control**

Behavioral Economics: Loss Aversion

Loss aversion suggests that users experience losses more intensely than equivalent gains.

- Receiving an incorrect item is perceived as a **loss of value**
- Losing control over refund modality amplifies dissatisfaction

Funnel Analysis

Description:

This funnel illustrates user progression from order placement through substitution, dissatisfaction, complaint/refund stages, and eventual retention. It highlights where users experience friction and drop off during the post-order journey.

Analytical Interpretation:

A significant proportion of users encounter substitutions (76%), of which a large subset becomes dissatisfied (59%). The transition from dissatisfaction to complaint/refund (42%) indicates escalation of negative experience.

Key Result:

> A 35% drop-off is observed before the retention stage, indicating that substitution and refund-related friction are primary drivers of user churn.

Theoretical Framework: AARRR Funnel (Pirate Metrics)

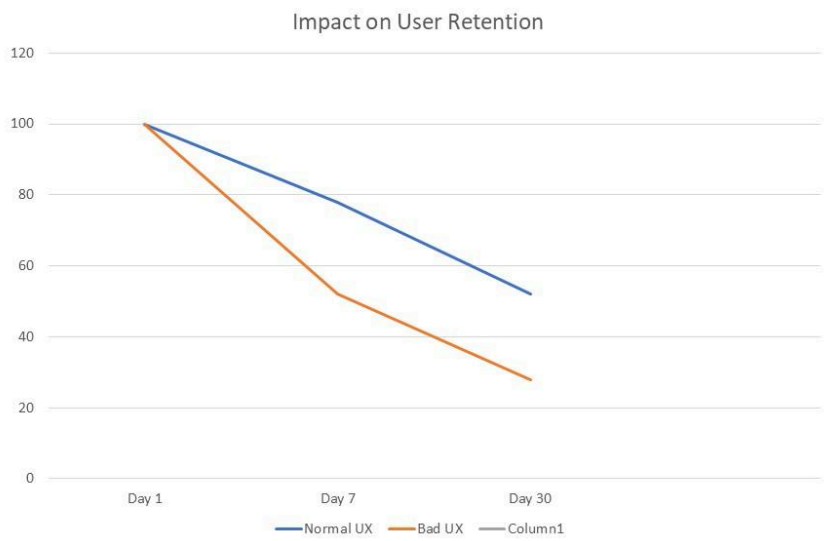
The AARRR model evaluates user lifecycle stages:

- Acquisition
- Activation
- Retention
- Revenue
- Referral

Application:

The failure occurs between **Activation and Retention**, indicating post-transaction experience is the primary drop-off driver.

Retention Analysis



Description:

This chart compares retention rates over time between users with a normal experience and those exposed to substitution or refund-related issues.

Analytical Interpretation:

While both cohorts start at 100%, the retention curve for users with negative experiences declines at a significantly steeper rate, particularly within the first 7 days.

Key Result:

> Users exposed to poor experience exhibit approximately 46% lower retention by Day 30, demonstrating a strong negative impact on long-term engagement.

Theoretical Framework: Cohort Retention Analysis

Cohort analysis tracks user behavior over time to evaluate product stickiness.

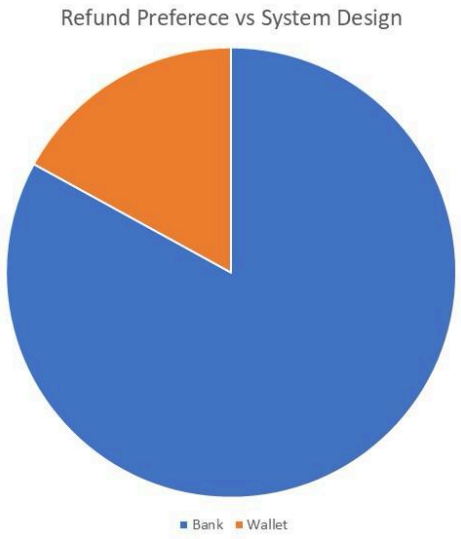
Interpretation:

- Normal experience users exhibit gradual retention decay
- Users with negative experiences exhibit accelerated decay

Insight:

Retention degradation reflects a breakdown in **product-market fit for affected users**

Refund System Misalignment



Description:

This chart presents the distribution of user preference between direct bank refunds and wallet-based refunds.

Analytical Interpretation:

A clear majority of users (83%) prefer refunds to their original payment method, while only a small fraction are comfortable with wallet credits.

Key Result:

> The current wallet-based refund system is misaligned with user expectations, creating a structural source of dissatisfaction.

Theoretical Framework: Principal-Agent Problem (Incentive Design)

The principal-agent framework highlights misalignment between stakeholders.

- Platform objective: maximize retention and re-spend
- User objective: maximize control and fairness

Outcome:

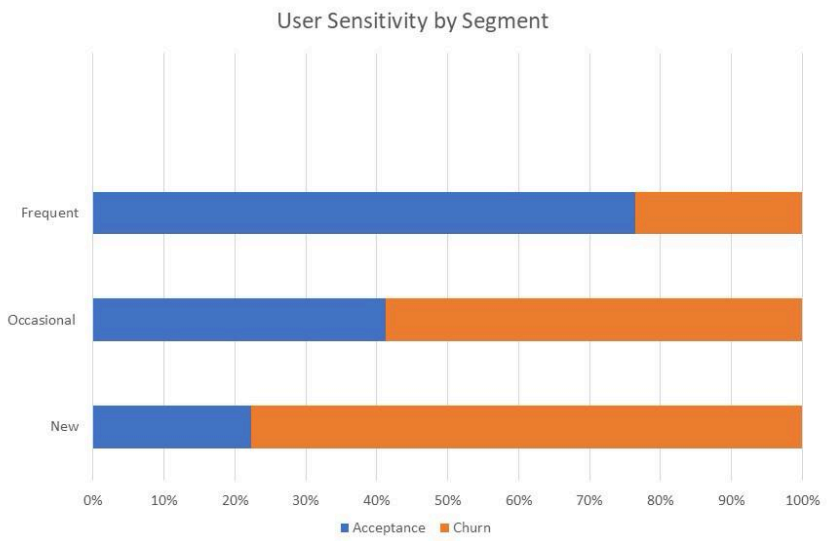
Wallet-based refunds introduce **forced retention**, creating long-term trust erosion.

Behavioral Economics: Endowment Effect

The endowment effect explains that individuals assign higher value to assets they own.

- Users perceive refunded money as personal property
- Restricting usage reduces perceived ownership and satisfaction

User Segmentation



Description:

This chart segments users based on usage frequency and shows their respective tolerance to substitution and refund-related friction.

Analytical Interpretation:

New users exhibit the highest churn risk (70%) and lowest acceptance of wallet refunds, while frequent users demonstrate higher tolerance due to established platform familiarity.

Key Result:

> New users are approximately 3.5 times more likely to churn, indicating that current product design disproportionately impacts early-stage user retention.

Theoretical Framework: Cohort Sensitivity and Lifecycle Segmentation

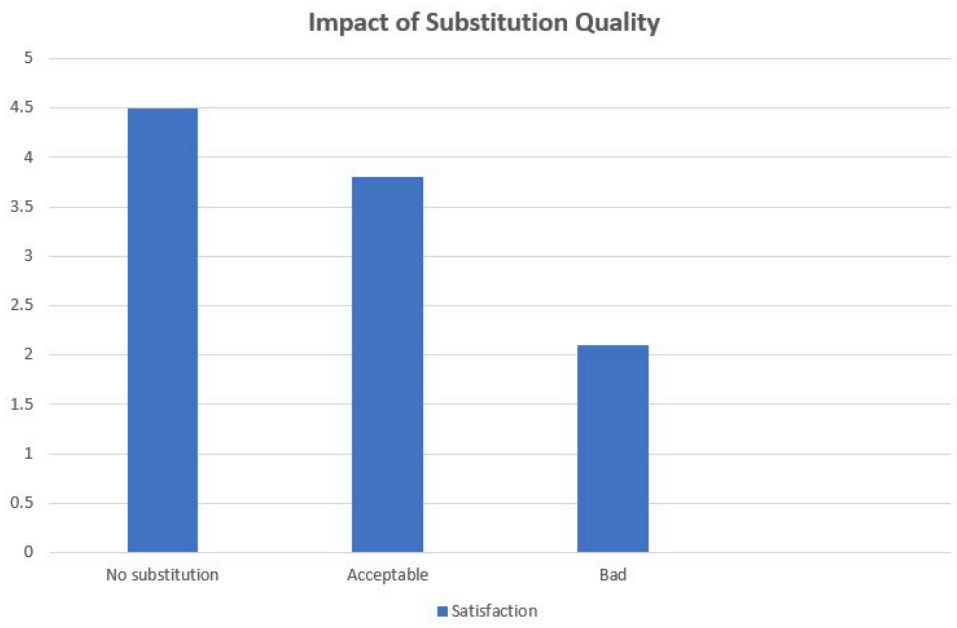
User sensitivity varies across lifecycle stages:

- New users have low switching costs and low trust
- Frequent users exhibit higher tolerance due to established habit

Insight:

Product decisions disproportionately affect **high-churn-risk cohorts (new users)**.

Satisfaction Analysis



Description:

This chart compares user satisfaction scores across different substitution scenarios: no substitution, acceptable substitution, and poor substitution.

Analytical Interpretation:

Satisfaction decreases progressively as substitution quality deteriorates, with a sharp decline in the case of poor substitutions.

Key Result:

> Poor substitutions reduce satisfaction by more than 50%, highlighting the importance of maintaining product reliability.

Theoretical Framework: Expectation-Disconfirmation Theory

Customer satisfaction is determined by the difference between expectations and actual experience.

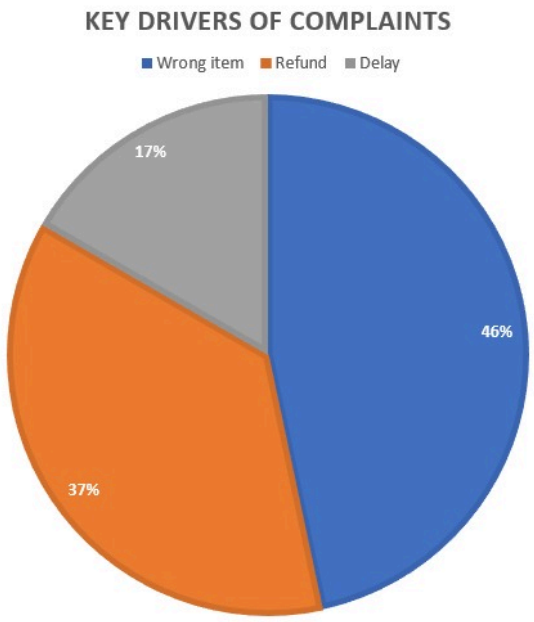
- Positive disconfirmation → satisfaction

- Negative disconfirmation → dissatisfaction

Application:

Unexpected substitutions create **negative disconfirmation**, significantly reducing satisfaction scores.

Complaint Analysis



Description:

This chart categorizes user complaints into primary issue types, including incorrect items, refund dissatisfaction, and delivery delays.

Analytical Interpretation:

A majority of complaints are concentrated around substitution (wrong item) and refund-related issues, while other factors contribute significantly less.

Key Result:

> Approximately 75% of complaints originate from substitution and refund issues, indicating high problem concentration in these areas.

Theoretical Framework: Pareto Principle (80/20 Rule)

A small number of causes typically drive the majority of outcomes.

Application:

Substitution and refund issues account for ~75% of complaints, indicating high-impact problem concentration.

Business Impact

- Average order value (AOV): ₹400
- Churn probability after bad experience: 35%

Calculation:

Expected revenue loss per affected user:

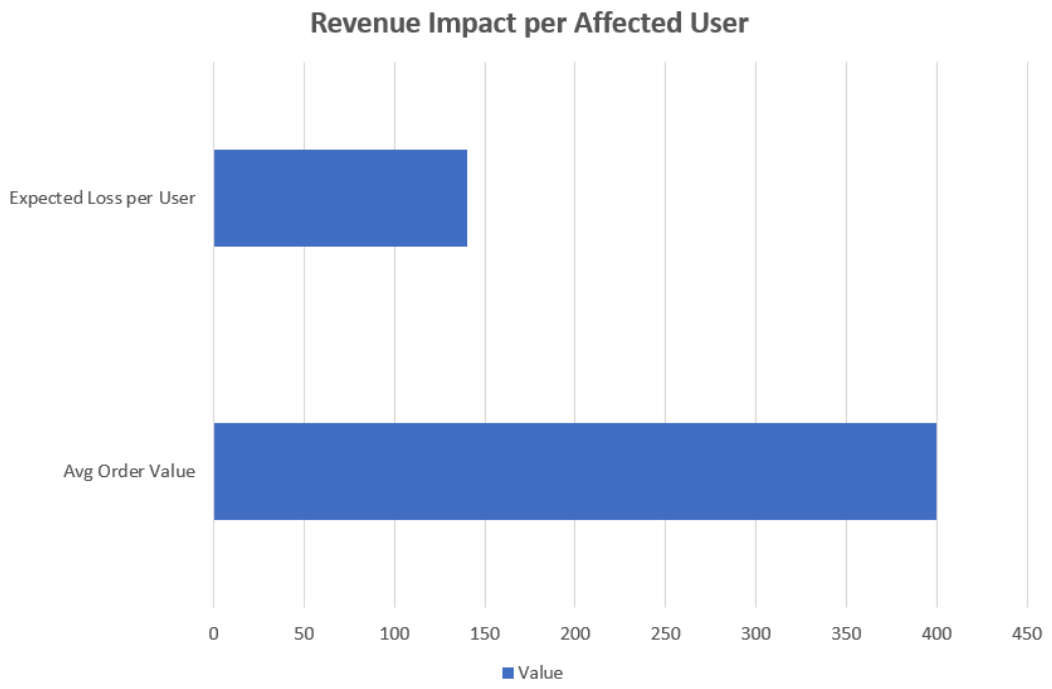
Expected Loss=AOV×Churn ProbabilityExpected\ Loss = AOV \times Churn\ Probability

Expected Loss=AOV×Churn Probability

=400×0.35=₹140= 400 \times 0.35 = ₹140

=400×0.35=₹140

Each negative experience leads to an expected revenue loss of ~₹140 per user



This analysis estimates the expected revenue loss per user based on observed churn probability following a negative experience.

Each poor user experience results in an expected loss of ~35% of order value (~₹140 per user).

Root Cause Analysis

The problem arises from interconnected system failures:

- Lack of user control in substitution logic
- Over-automation of decision-making
- Inflexible refund policy
- Misaligned incentives between platform and user

Theoretical Framework: Systems Thinking

The issue is not isolated but emerges from the interaction of:

- Product design
- Operational processes
- Policy decisions

Solutions

Proposed interventions:

1. User-controlled substitution preferences
2. Flexible refund options (wallet or original method)
3. Real-time substitution confirmation
4. AI-driven personalized substitutions

Theoretical Framework: Minimum Viable Product (MVP)

Prioritize solutions that address the **core user pain point with minimal complexity**, before scaling advanced features.

Prioritization

Framework: RICE

RICE = Reach × Impact × Confidence / Effort

Application:

Substitution control and refund flexibility rank highest due to:

- High reach
- High impact

- Moderate implementation effort

Experimentation Strategy

Framework: A/B Testing (Causal Inference)**

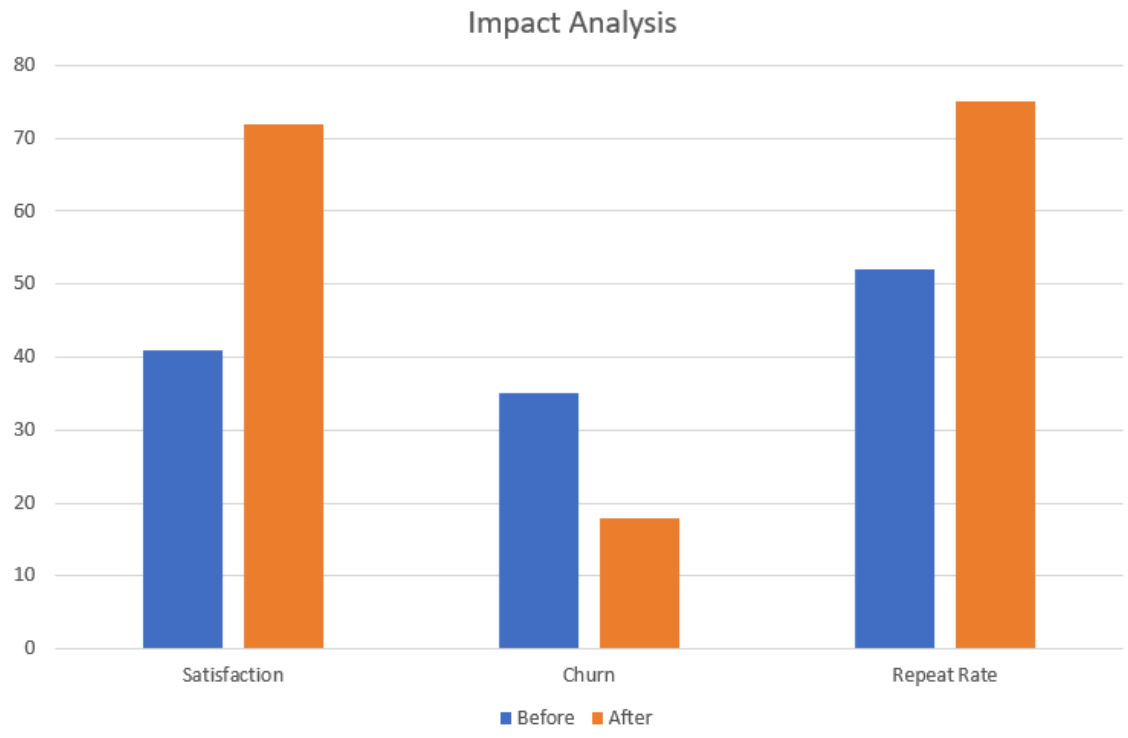
Compare:

- Control group (current system)
- Treatment group (improved system)

Metrics:

- Retention
- Repeat purchase rate
- Customer satisfaction

Projected Impact



Description:

This chart compares key performance metrics before and after the implementation of proposed product solutions.

Analytical Interpretation:

Improvements in substitution control and refund flexibility lead to measurable gains in satisfaction and repeat usage, while significantly reducing churn.

Key Result:

> Churn is reduced by approximately 50%, while satisfaction and repeat purchase rates increase substantially, indicating strong potential ROI from proposed changes.

Theoretical Framework: Product Growth Loop

Improved experience leads to:

Better UX → Higher retention → Increased orders → Revenue growth

Strategic Trade-offs

Decision	Benefit	Cost
Wallet refunds	Short-term retention	Trust erosion
Auto substitution	Operational efficiency	Loss of control

Theoretical Framework: Trade-off Optimization

Product design requires balancing:

- Efficiency
- User experience

Insight:

The current system prioritizes efficiency at the expense of long-term trust.

Final Recommendation

Redesign the substitution and refund system to prioritize:

- User control
- Transparency
- Personalization

Conclusion:

Improving user trust will directly enhance retention and long-term revenue growth.

Limitations & Assumptions

> This analysis is based on a limited sample (n=30) and modeled estimates.
>
> The findings should be interpreted as directional insights rather than precise measurements.
>
> Revenue impact is calculated at a per-user level to avoid over-scaling assumptions.

Conclusion

This case study demonstrates the following:

- Application of structured product frameworks
- Data-driven decision-making
- Integration of behavioral and economic theory
- Clear linkage between user experience and business outcomes